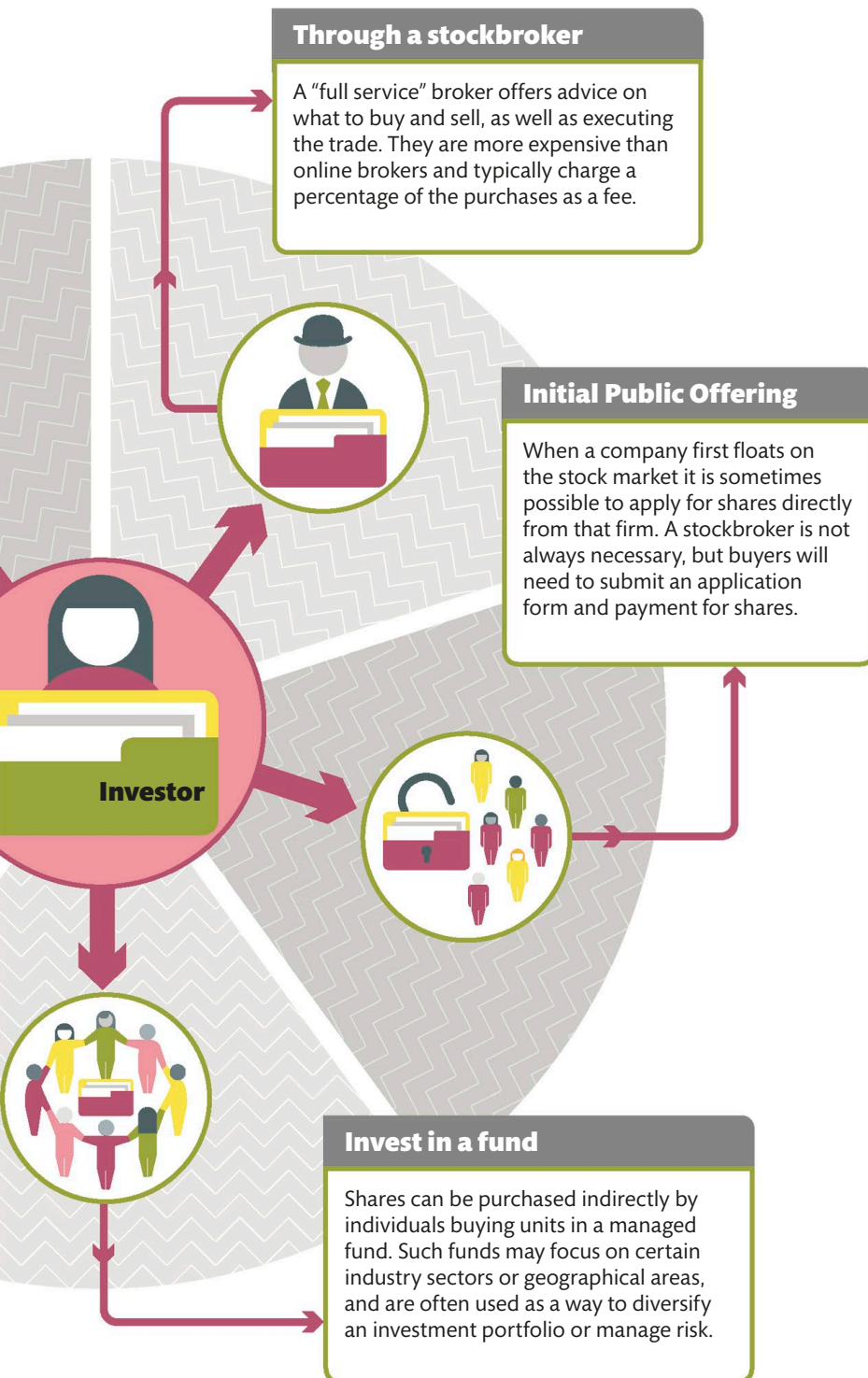




WHY SHARE PRICES MATTER

- › **Investors focusing** on capital growth will only make a profit if the share price of their stock increases. They may also lose money if the share price falls.
- › **A falling share price** can impact on the reputation of a company and its management, and also on its ability to borrow money.
- › **Public traded companies** with a falling share price can become takeover targets for wealthy shareholders or rival companies.
- › **The value of pension** savings pots linked to the stock market will fall if the underlying share prices fall. This is bad news for those nearing retirement.
- › **When stock markets** in a country fall, foreign investors may remove money from that country altogether, reducing the value of its currency.

1987
marked the
beginning of the
longest US bull
market to date,
lasting 13 years